Kena Hub

SECTOR INVESTMENT REPORT · ETHIOPIA

Logistics and transport

Opportunities, published returns, incentives and risks, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Kena Hub · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

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Executive summary

About 95 percent of Ethiopia's import-export cargo moves along the Addis-Djibouti corridor, and the World Bank estimates that logistics costs account for nearly a third of GDP, so cutting costs on this route is a large opportunity. The government is expanding the Modjo dry port and logistics hub, plans new dry ports and truck terminals, and says it intends to invest over USD 70 billion in transport and logistics infrastructure. Ethiopian Airlines, the state-owned carrier, reported carrying 897,000 tons of cargo in fiscal year 2025/2026.

SHARE OF ETHIOPIA'S EXPORT-IMPORT CARGO TRAFFIC ON THE ADDIS-DJIBOUTI CORRIDOR

95 percent

LOGISTICS COSTS RELATIVE TO GDP

nearly a third of GDP

COST OF SHIPPING A 20-FOOT CONTAINER TO GERMANY VS. FROM VIETNAM

247 percent higher from Ethiopia

FREIGHT CARRIED BY THE ADDIS-DJIBOUTI RAILWAY

1.2-1.6 million tons per year (average)

01 Key indicators

Indicator	Value	Period
Share of Ethiopia's export-import cargo traffic on the Addis-Djibouti corridor	**95 percent**	2024 (World Bank mission, October 2-4, 2024)
Logistics costs relative to GDP	**nearly a third of GDP**	2023 (Project Appraisal Document dated June 27, 2023)
Cost of shipping a 20-foot container to Germany vs. from Vietnam	**247 percent higher from Ethiopia**	2023 (Project Appraisal Document)
Freight carried by the Addis-Djibouti Railway	**1.2-1.6 million tons per year (average)**	2023 (Project Appraisal Document)
Ethio-Djibouti electrified railway length	**756 km, with 16 stations in Ethiopia and 4 in Djibouti**	2025 (ENA, March 15, 2025); in operation since January 2018
Ethiopian Airlines Group cargo carried	**897,000 tons**	Fiscal year 2025/2026 (CEO statement, July 29, 2026)
Modjo modern logistics hub, first phase	**Built on 60 hectares; capacity of up to one million 20-foot containers annually**	Inaugurated September 2026 (ENA, October 1, 2026)

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Indicator	Value	Period
Annual import-export trade value	**more than $20 billion**	Undated ('currently'); page last modified 2023

02 Returns and yields

Measure	Value	Period	Basis
Economic internal rate of return, Mieso-Dire Dawa expressway (Addis-Djibouti corridor)	**28.9 percent (NPV US$584 million) at the official rate of ETB 55; 29.5 percent (NPV US$358 million) at an alternative rate of ETB 95**	2023 (appraisal, June 27, 2023)	World Bank economic (not financial) rate of return for the road upgrade component of the IDA-financed corridor project; sensitivity case with costs up 20% or benefits down 20% gives 26.9 percent
364-day Treasury bill weighted average yield (benchmark)	**19.10% (annual)**	Auction 974th/25, April 2, 2025 (latest auction with complete weighted average results shown on the NBE page)	Weighted average annual yield on government 364-day Treasury bills; a risk-free birr benchmark, not a sector return

No international institution or Ethiopian government source we reviewed publishes an average financial return on investment for private logistics or transport firms in Ethiopia; the figures above are the World Bank's economic rate of return for a public corridor road project and the Treasury bill yield as a benchmark.

03 Investment opportunities

- **Freight truck terminals.** The World Bank corridor project will seek to mobilize private sector financing for freight truck terminals, and the national target is to increase cargo vehicle terminals from 1 to 23 by 2030.
- **New dry ports and logistics hubs.** The Ethiopian Investment Commission lists dry ports in Semera, Dire Dawa, Woreta, Mekelle, Kombolcha or Jijiga, a logistics hub at Indode on the Addis-Djibouti railway, and expansion of the Modjo logistics center among opportunities.
- **National transport investment pipeline.** The Commission says it has identified six key investment areas and 29 specific investment opportunities, within a plan to invest over USD 70 billion in transport and logistics infrastructure over the next decade.
- **Dire Dawa Free Trade Zone.** More than 45 large-scale investors are active in the zone, which has handled goods worth over USD 100 million since operations began; IPDC aims to channel nearly 4 billion dollars' worth of goods through it over five years.
- **Faster dry port clearance.** The World Bank reports that, after the World Bank-supported expansion of Modjo Dry Port, processing times have in some cases fallen by 70%, from 60 days to 15.

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- **Air cargo connectivity.** Ethiopian Airlines serves 44 freighter destinations alongside 127 international passenger destinations, according to the Ethiopian Investment Commission.

04 Incentives

- The Ethiopian Investment Board decision of September 2018 allows joint ventures with international logistics service providers holding up to 49% stakes, including in bonded warehouse, consolidation and deconsolidation services (later 2026 reports of full opening of freight forwarding could not be confirmed in a permitted source).
- The Ethiopian Investment Commission states that the 2020 investment law opened many investment areas to FDI, including transport and logistics.
- The Ethiopian Maritime Authority said the Dire Dawa Free Trade Zone would provide foreign currency, easy customs and improved logistics services.

05 Risks to consider

- The World Bank cites long dwell times for trucks and goods caused by inefficiencies at the Djibouti port and the Modjo inland dry port.
- Rail carries only a small share of corridor freight; the World Bank notes that even if rail traffic grows to 4 million tons, road will still carry most cargo.
- Corridor upgrades have been slow to start: in October 2024 the World Bank recorded only 3.3 percent disbursement of the US$730 million grant and civil works on the road component had not commenced.
- The IMF says the war in the Middle East disrupted trade and caused temporary fuel shortages and sharp increases in imported fuel prices, and that pressures could increase if the shock is prolonged.

References for members. Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Kena Hub members on the platform.

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